extensive powers regarding commercial banks. Another was to form a National Credit Council under the chairmanship of the RBI Governor to consider matters relating to sectoral allocation of bank credit. His final recommendation was the appointment of a Banking Commission to go into various operational matters relating to the working of banks. The Banking Regulations Act was duly revised as per Pai Panandikar's suggestions, chief of which were to require banks to have professionals like economists and chartered accountants as Directors and to give RBI the power to supercede the Board of a bank and replace it by nominees in case it found its working unsatisfactory. The National Credit Council was formed but could hold only a few meetings as subsequent events rendered it superfluous. The Banking Commission was also appointed with R.G. Saraiya, (coincidentally Purshotamdas's son-in-law) as its Chairman. All this, however, could not prevent the inevitable.

Morarji felt that nationalization would 'severely strain the administrative resources of the government while leaving the basic issues untouched.'[22] He believed that nationalization would reduce the resources available for economic development and increase bureaucracy and red tape. I.G. Patel, who was Secretary in the Department of Economic Affairs at the time, has written about this momentous decision in his memoirs. According to him, the question of nationalization of banks came up at a meeting of the National Development Council in early 1969. Both Morarji and D.R. Gadgil were against it. Patel told Morarji that he was getting a bad name for his point of view and asked him to clear the air with Indira. At the meeting, Indira clearly said that she was not in favour of nationalization and that social control should be given a fair trial. But Indira obviously did not mean what she had said. Patel observes, 'In the light of subsequent developments, I have a suspicion that this matter was deleted from the minutes of the Planning Commission.'[23]

On July 16, 1969, Indira summarily relieved an unwary Morarji of the finance portfolio but retained him as Deputy Prime Minister without portfolio. She said that she did not want to strain him with the burden of implementing economic policy about which he had reservations. Morarji promptly resigned. Nationalization had been discussed at the AICC meeting at Bangalore on July 10. The Syndicate which still controlled the party apparatus made no reference to nationalization. But Indira had cleverly